TEACHER GUIDE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

# Pricing strategies

Unit 1: Marketing and people
**1.3.3 Marketing mix and strategy: pricing strategies**



A revision lesson. Pupils run a car dealership in firms of four and revise pricing strategies on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Mark-up to margin

Round 1

Mark-up or margin?

**Margin, as % of the price? Nearest whole %.**

| | |
|---|---|
| Full cost per car | **£10,000** |
| Your mark-up | **25%** |

**ANSWER**

**20%**

£2,500 ÷ £12,500 = 20.0%

**Why:** The same profit is a bigger share of the cost than of the price.

## 2 Inelastic demand

Round 1

Demand for your cars is price inelastic.

**Which two are most likely?**

**A** Revenue does not change
**B** Sales fall by a smaller %
**C** A price rise raises revenue
**D** A price cut raises revenue
**E** Sales fall by a bigger %

**ANSWER**

**✔ Sales fall by a smaller %**
**✔ A price rise raises revenue**

**Why:** Inelastic: sales change by less than the price, so a rise raises revenue.

## 3 Rank by elasticity

Round 2

Three price rises and what happened to sales.

**Order by elasticity, most elastic first?**

**A** Price up 10%, sales down 5%
**B** Price up 5%, sales down 10%
**C** Price up 20%, sales down 20%

**ANSWER**

1. **Price up 5%, sales down 10%**
2. **Price up 20%, sales down 20%**
3. **Price up 10%, sales down 5%**

**Why:** PED = % change in sales ÷ % change in price: −2, −1, −0.5.

# Topic tasks

## 4 Price to hit margin

Round 2

Price to hit your target.

**Price with the 25% margin?**

| | |
|---|---|
| You pay per car | **£12,260** |
| Prep per car | **£490** |
| Target margin on the price | **25%** |

**ANSWER**

**£17,000**

(£12,260 + £490) ÷ 75% = £17,000

**Why:** A 25% margin is a 33% mark-up on cost.

## 5 Cut the price?

Round 3

Price elasticity for your cars is −0.4. Sales are falling.

**Should you cut the price, and why?**

**A** No, keep the price

**B** Yes, cut the price

**ANSWER**

**✓ No, keep the price**

**Why:** At −0.4 a 10% cut adds only 4% sales, so revenue falls.

## 6 Profit change

Round 3

They buy 30 cars a month.

**Change in monthly profit? Minus allowed.**

| | |
|---|---|
| Price per car | **£8,000** |
| You pay per car | **£6,600** |
| Price cut | **10%** |
| Price elasticity of demand | **NaN el** |

**ANSWER**

**−£20,400**

36 × £600 − 30 × £1,400 = −£20,400

**Why:** More cars sold did not make up for the lower price.

# Final questions

Each pupil answers 6 final questions on pricing strategies. They come from these 9 questions.

1. Urgent brake repair prices rise 5%, and the number of repairs barely changes. What does this show about demand?
   ✔ **Inelastic: customers needing it today have little choice**

2. A dealer prepares a used car at a total cost of £6,400 and adds a 25% mark-up. What selling price does cost-plus pricing give?
   ✔ **£8,000**

3. A service costs the workshop £120 in labour and parts and sells for £168. What is the mark-up on cost?
   ✔ **40%**

4. A car listed at £9,500 is cut by 8% in a January sale. What is the sale price?
   ✔ **£8,740**

5. A dealer wants a 20% profit margin on the selling price of a car that cost £7,200. What price must it charge?
   ✔ **£9,000**

6. A new online car-buying service launches with prices well below established dealers to win customers quickly. Which pricing method is this?
   ✔ **Penetration pricing**

7. A dealer sets its servicing prices in line with the three other garages in town. Which pricing method is this?
   ✔ **Competitive pricing**

8. A workshop prices every repair at cost plus 30%. Rivals charge far less for simple jobs and it loses that work. What is the main weakness of its method?
   ✔ **It ignores customers and rivals**

9. After a year of penetration pricing a new dealer group has a large customer base. What is the usual next step?
   ✔ **Raise prices gradually towards rivals' levels**